Raising the circle rate is considered a decisive step in that direction.

In the immediate term, the decision will be detrimental to middle-income group buyers, those typically dependent on home loans, who will have to shell out significantly more on stamp duty. For developers, their expense on 'buying' Floor Space Index (FSI)—the maximum permitted floor area on which they can build on any given piece of land, calculated on the *jantri* rate—has doubled. They will naturally pass on the additional cost to the buyer. The deferment in implementation has helped realtors close FSI purchase formalities for already announced projects, but hundreds of thousands of deals will still be affected.

The worst impacted, however, will be the redevelopment projects. "Developers reach a consensus with various stakeholders after a lot of negotiations. This kind of revision throws all calculations out of the window and brings them back to the drawing board," Shah says.

THE *JANTRI* RATE HIKE WILL WEIGH HEAVY ON MIDDLE CLASS BUYERS, WHO WILL HAVE TO PAY HIGHER STAMP DUTY

Property tax calculated on the basis of *jantri* rates will also double instantly, further hurting the middle class. However, once the dust settles, a section of the developers claim this will be a good move in the long run. "It will initiate a much-needed shake-out of the unorganised fringe players in the Gujarat market. GST and RERA's burden of compliance on developers along with increased *jantri* will bring a semblance of maturity in the industry over time," Israni says. Adjusted for inflation, doubling the rate across the state is also justified, he adds. Call it a developing story. ■



TELANGANA

ELECTING TO GO ELECTRIC

By Amarnath K. Menon

Indian cities may otherwise be earning notoriety on world pollution indices, but Hyderabad seems to be racing towards a cleaner future. On February 11, after hosting the first-ever Formula E race in India—also the first on a street circuit—Telangana's capital is poised to earn a place at the global electric vehicle (EV) high table. That all 20,000 tickets were sold out for the inaugural event of the electric equivalent of Formula 1 is testimony to the growing popularity here of motorsport as well as green mobility.

In 2022, every 20th vehicle registered in the country was an EV, with more than one million of them sold in India. The Union and state governments have launched several initiatives to expedite EV adoption. A NITI Aayog report says that by 2030, some 80 per cent of two- and three-wheelers, 40 per cent of buses, and 30-70 per cent of cars in India will be EVs.

Latching on to this trend swiftly, Telangana is determined to make the most of it. "We are committed to providing an impetus to EV adoption and aim to be the most electrified state in electric mobility," said industries, information technology and urban administration minister K.T. Rama Rao, who pulled out all the stops to get the Formula E race to Hyderabad—to be an annual event. The state is vigorously pursuing a comprehensive strategy to manufacture various components of the EV ecosystem such as cell and cell components and battery charging and swapping stations, and two-wheeler, three-wheeler and buses, as also taking